

- Stochastics above 80 indicates an 'overbought' situation; hence opt for a short trade.
- When it is below 20 it indicates an 'oversold' situation; hence opt for a long trade.

But that's not the best way to use the Stochastics Indicator. I suggest doing the opposite of it.

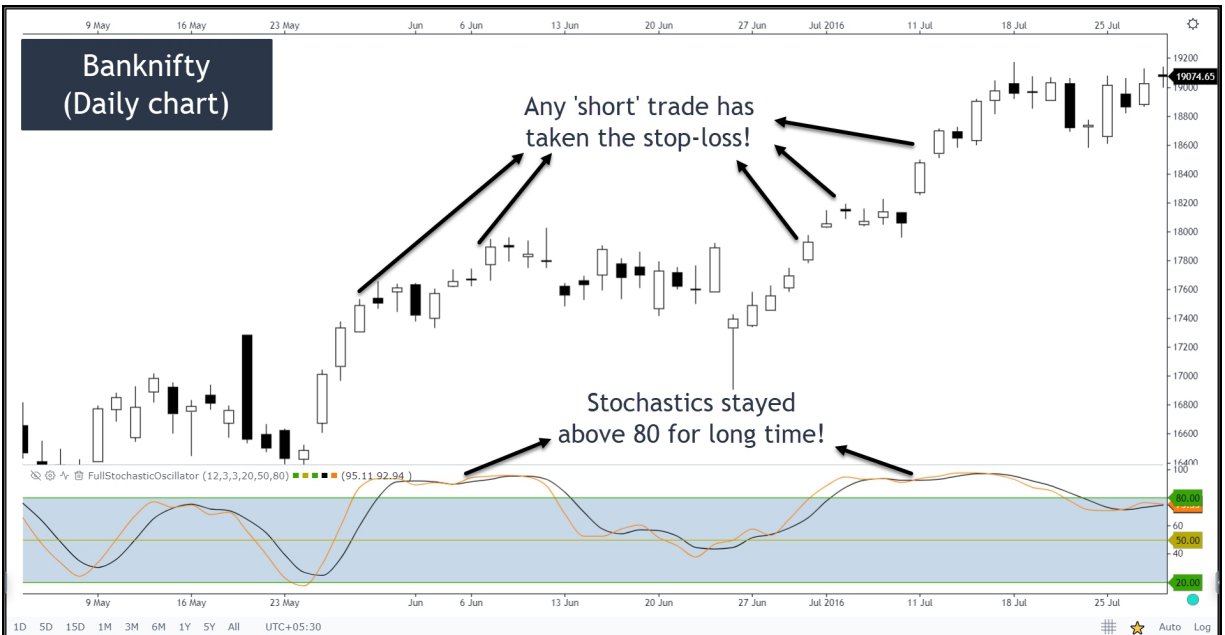


Image 5.16 – Failure of overbought condition in Stochastics

Image 5.16 shows Stochastics stayed above 80 for a long time after the breakout. Any short trades at these levels only resulted in a series of failures.